



## Calculation of Canadian Manufacturing and Processing Profits Deduction (2022 and later tax years)

|                    |                 |      |                       |     |
|--------------------|-----------------|------|-----------------------|-----|
| Corporation's name | Business number | Year | Tax year-end<br>Month | Day |
|                    |                 |      |                       |     |

- Use this schedule to claim either the Canadian manufacturing and processing profits deduction (including for profits from the generation of electrical energy for sale or production of steam for sale) or the zero-emission technology manufacturing (ZETM) deduction.
- Corporations claiming the manufacturing and processing profits deduction should begin with parts 1, 2, or 10, as applicable:
  - small manufacturing corporations that meet all requirements in Part 1 should begin with Part 1
  - corporations that only generate electrical energy for sale or produce steam for sale should begin with Part 10 on page 5
  - all other corporations should begin with Part 2
- Corporations claiming the ZETM deduction must complete Part 14 on page 7.
- All legislative references are to the federal Income Tax Act and Income Tax Regulations.
- Income that is eligible for the small business deduction is not eligible for the manufacturing and processing profits deduction, but may be eligible for the ZETM deduction if related to relevant eligible activities.
- See page 9 for notes and definitions to help you complete this schedule.

### Part 1 – Small manufacturing corporations

See [notes 1 to 7](#) on page 9.

To qualify as a small manufacturer, you have to meet all of the following requirements:

1. your activities during the year were primarily manufacturing or processing in Canada of goods for sale or lease, not including generating electrical energy for sale or producing steam for sale
2. the following calculation totals \$200,000 or less:

|                                                                                                                                                                                                                                                                            |            |       |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|-------|
| your active business income <b>minus</b> active business losses for the year (this includes your share of active business income and active business loss for the fiscal period of each partnership of which you were a member at any time in the year <a href="#">1</a> ) | <b>100</b> | _____ |
| the active business income for the tax year of each Canadian corporation with which you were associated in the year <a href="#">2</a>                                                                                                                                      | <b>105</b> | _____ |
| <b>Total (line 100 plus line 105) (cannot exceed \$200,000 under section 5201 of the regulations)</b>                                                                                                                                                                      | <b>110</b> | ===== |

3. you were not engaged at any time during the year in any activities as set out in subsections 5201 (c) to (c.3) of the regulations
4. you did not carry on any active business outside Canada at any time during the year

**If you meet requirements 1 through 4**, your Canadian manufacturing and processing profits are equal to line 100 above.  
Enter this amount on line 200 in Part 9.

**If you do not meet requirements 1 through 4**, complete Part 2 below.

- <sup>1</sup> If you were a member of a partnership at any time in the year, provide the following information on a separate sheet of paper attached to this form: the name, business number, and total income or loss of each active business carried on by each partnership.
- <sup>2</sup> If you were associated with any Canadian corporations in the year, provide the following information on a separate sheet of paper attached to this form: the name, business number, and total income of each active business for the tax year carried on by each corporation.

### Part 2 – Corporations that do not qualify as small manufacturers

See [note 6](#) on page 9.

#### Canadian manufacturing and processing profits (MP)

|                              |   |                         |   |                       |   |   |    |       |
|------------------------------|---|-------------------------|---|-----------------------|---|---|----|-------|
| ADJUBI<br>(Part 3, line 130) | × | [ MC (Part 5, line 150) | + | ML (Part 7, line 170) | ] | = | MP | ===== |
|                              |   | [ C (Part 4, line 140)  | + | L (Part 6, line 160)  | ] |   |    |       |

Enter amount MP on line 200 in Part 9.

**Part 3 – Adjusted business income (ADJUBI)**See [notes 1, 3, and 5](#) on page 9.

Your active business income **minus** active business losses for the year (this includes your share of active business income and active business loss for the fiscal period of each partnership of which you were a member at any time in the year <sup>3</sup>). . . . .

**120**

Net resource income (amount 8G from Part 8) . . . . . 3A

Net resource adjustment per subsection 5203(3.1) of the regulations . . . . . 3B

Excess (amount 3A **minus** amount 3B, if negative, enter "0") . . . . . 3C

Refund interest under subsection 5203(4) of the regulations . . . . . 3D

Subtotal (amount 3C **plus** amount 3D) . . . . . **125****Adjusted business income (ADJUBI)** (line 120 **minus** line 125, if negative, enter "0") . . . . . **130**

Enter this amount in parts 2, 10, and 14 as applicable.

<sup>3</sup> If you were a member of a partnership at any time in the year, provide the following information on a separate sheet of paper attached to this form: the name, business number, and total income or loss of each active business carried on by each partnership.

**Part 4 – Cost of capital (C)**See [notes 3, 5, 9, and 13](#) on page 9.

Gross cost of the following property that you owned at the end of the year and used at any time during the year:

depreciable assets eligible for capital cost allowance under Schedule II of the regulations . . . . . 4A

timber limits and cutting rights (other than a timber resource property) . . . . . 4B

immovable wood assets (Class 15) . . . . . 4C

industrial mineral mines . . . . . 4D

capital expenditures for scientific research and experimental development . . . . . 4E

Part XVII property . . . . . 4F

Subtotal (total of amounts 4A to 4F) . . . . . × 10% = 4G

Rental cost for the use of property, which would be included in 4A to 4F if it were owned by you at the end of the year . . . . . 4H

Your share of the amounts that would be determined under amounts 4G and 4H for a partnership of which you were a member at any time in the year . . . . . 4I

**Cost of capital (C)** (add amounts 4G, 4H, and 4I) . . . . . **140**

Enter this amount in parts 2 and 5, parts 10 and 11, and Part 14, as applicable.

**Part 5 – Cost of manufacturing and processing capital (MC)**

Complete this part using all eligible activities other than generating electrical energy for sale or producing steam for sale.

See [notes 3, 5, and 13](#) on page 9.

Cost of capital from line 140 in Part 4 . . . . . 5A

The part of amount 5A that reflects the extent to which each property was used directly in qualified activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year . . . . . 5B

**Cost of manufacturing and processing capital (MC)**  
(amount 5B **multiplied** by 100 **divided** by 85, cannot be more than amount 5A) . . . . . **150**

Enter this amount in Part 2.

**Part 6 – Cost of labour (L)**

See [notes 3, 5, 10, 11, and 13](#) on page 9.

Salaries and wages paid or payable to all employees for services performed during the year ..... 6A

Salaries and wages included in amount 6A that were:

included in the gross cost of property (Part 4) other than property manufactured and leased  
during the year to other persons ..... 6B

related to an active business carried on outside Canada ..... 6C

related to activities engaged in for the purpose of earning **Canadian resource profits** under  
section 5202 of the regulations ..... 6D

included in your Canadian or foreign exploration and development expenses ..... 6E

Subtotal (total of amounts 6B to 6E) ..... 6F

Subtotal (amount 6A **minus** amount 6F) ..... 6G

Salaries and wages referred to in amount 6A, **minus** the deductions in amount 6F for the fiscal period of a partnership of which you  
were a member at any time in the year – corporation's share (attach calculation) ..... 6H

Subtotal – salaries and wages (amount 6G **plus** amount 6H) ..... 6I

Amounts paid or payable during the year to non-employees for performing functions relating to:

management and administration ..... 6J

scientific research and experimental development ..... 6K

any service or function normally performed by employees of the corporation ..... 6L

Subtotal (total of amounts 6J to 6L) ..... 6M

Amounts included in amount 6M that were:

included in the gross cost of property (Part 4) other than property manufactured and leased  
during the year to other persons ..... 6N

related to an active business carried on outside Canada ..... 6O

related to activities engaged in for the purpose of earning **Canadian resource profits** under  
section 5202 of the regulations ..... 6P

included in your Canadian or foreign exploration and development expenses ..... 6Q

Subtotal (total of amounts 6N to 6Q) ..... 6R

Subtotal (amount 6M **minus** amount 6R) ..... 6S

Amounts referred to in amount 6M, **minus** the deductions in amount 6R for the fiscal period of a partnership of which you were a  
member at any time in the year – corporation's share (attach calculation) ..... 6T

Subtotal – other payments (amount 6S **plus** amount 6T) ..... 6U

**Cost of labour (L)** (amount 6I **plus** amount 6U) ..... **160**

Enter this amount in parts 2, 10, and 14, as applicable.

**Part 7 – Cost of manufacturing and processing labour (ML)**

Complete this part using all eligible activities other than generating electrical energy for sale or producing steam for sale.

See [notes 3, 5, and 13](#) on page 9.

Part of salaries and wages (included in amount 6I) that was paid or payable to employees for services directly engaged in qualified  
activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the  
year ..... 7A

Part of other payments (included in amount 6U) that was paid or payable to non-employees for performing functions that would be  
directly related to qualified activities of the corporation during the year, or of a partnership during its fiscal period of which you were a  
member at any time in the year, if they had been employees of the corporation or partnership ..... 7B

Total (amount 7A **plus** amount 7B) ..... 7C

**Cost of manufacturing and processing labour (ML)**

(amount 7C **multiplied** by 100 **divided** by 75, cannot be more than line 160 in Part 6) ..... **170**

Enter this amount in Part 2.

**Part 8 – Net resource income****For corporations with resource activities**

See [notes 5, 12, and 13](#) on page 9.

Resource profits under section 1204 of the regulations for the year, including your share of resource profits as a member of a partnership under subsection 1206(3) of the regulations ..... 8A

Amounts included in income under section 59 (other than amounts that were included in calculating resource profits), including your share of such amounts as a member of a partnership ..... 8B

Subtotal (amount 8A **plus** amount 8B) ..... 8C

Amounts deducted under section 65 (other than amounts that were deducted in calculating resource profits) ..... 8D

Income from the processing of foreign ore (see [note 12](#) on page 9) ..... 8E

Subtotal (amount 8D **plus** amount 8E) ..... 8F

**Net resource income** (amount 8C **minus** amount 8F) ..... 8G

Enter this at amount 3A.

**Part 9 – Manufacturing and processing profits deduction and ZETM deduction****For eligible corporations that have such profits**

Canadian manufacturing and processing profits from Part 1 or Part 2, as applicable ..... **200** .....

Line 400, 405, 410, or 428 of the T2 return, whichever is the least [4](#) ..... 9A

Subtotal (line 200 **minus** amount 9A) ..... 9B

Taxable income from line 360 of the T2 return ..... 9C

Line 400, 405, 410, or 428 of the T2 return, whichever is the least [4](#) ..... 9D

Aggregate investment income from line 440 of the T2 return [4](#) ..... 9E

Foreign business income tax credit deductible from line 636 of the T2 return [5](#) .....  $\times$  [4](#) [6](#) = ..... 9F

Subtotal (total of amounts 9D to 9F) ..... 9G

Subtotal (amount 9C **minus** amount 9G) ..... 9H

Lesser of amount 9B and amount 9H .....  $\times$  13% = ..... 9I

Amount 13L if you are claiming the deduction for generating electrical energy for sale or producing steam for sale ..... 9J

Amount from line 350 in Part 17 if you are claiming the ZETM deduction ..... 9K

**Manufacturing and processing profits deduction and ZETM deduction** (total of amounts 9I to 9K) ..... 9L

Enter this amount on line 616 of the T2 return.

<sup>4</sup> Applies only if you are a Canadian-controlled private corporation throughout your tax year.

<sup>5</sup> Calculate the amount of foreign business income tax credit without reference to the corporate tax reductions under section 123.4.

<sup>6</sup> General tax reduction for the year being 13% since January 1, 2012, the equation  $1/(0.38 - X)$  becomes:  $1/(0.38 - 0.13) = 1/(0.25) = 4$ .

## Corporations that generate electrical energy for sale or produce steam for sale

Part 10 is for corporations claiming the manufacturing and processing profits deduction on profits from generating electrical energy for sale or producing steam for sale. If the corporation has eligible activities in addition to generating electrical energy for sale or producing steam for sale, it will also need to complete Part 2.

### Part 10 – Corporations that generate electrical energy for sale or produce steam for sale

#### Canadian manufacturing and processing profits (MPA)

ADJUBI  
(Part 3,  
line 130) \_\_\_\_\_ ×  $\left[ \begin{array}{l} \text{MCA (Part 11, line 205)} \\ \text{C (Part 4, line 140)} \end{array} \right] + \begin{array}{l} \text{MLA (Part 12, line 206)} \\ \text{L (Part 6, line 160)} \end{array} \right] = \text{MPA} \underline{\hspace{2cm}}$

Enter amount MPA on line 210 in Part 13.

### Part 11 – Cost of all manufacturing and processing capital (MCA)

Include capital used directly in generating electrical energy for sale or producing steam for sale.

See [notes 3, 5, and 13](#) on page 9.

Cost of capital from line 140 in Part 4 ..... 11A

The part of amount 11A that reflects the extent to which each property was used directly in qualified activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year ..... 11B

#### Cost of manufacturing and processing capital (MCA)

(amount 11B multiplied by 100 divided by 85, cannot be more than amount 11A) ..... **205**                     

Enter this amount in Part 10.

### Part 12 – Cost of all manufacturing and processing labour (MLA)

Include labour used directly in generating electrical energy for sale or producing steam for sale.

See [notes 3, 5, and 13](#) on page 9.

Part of salaries and wages (included in amount 6I) that was paid or payable to employees for services directly engaged in qualified activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year ..... 12A

Part of other payments (included in amount 6U) that was paid or payable to non-employees for performing functions that would be directly related to qualified activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year, if they had been employees of the corporation or partnership ..... 12B

Total (amount 12A plus amount 12B) ..... 12C                     

#### Cost of manufacturing and processing labour (MLA)

(amount 12C multiplied by 100 divided by 75, cannot be more than line 160 in Part 6) ..... **206**                     

Enter this amount in Part 10.

## Part 13 – Manufacturing and processing profits deduction for generating electrical energy for sale or producing steam for sale

For eligible corporations that have profits from generating electrical energy for sale or producing steam for sale

|                                                                                                                                                                                               |                         |       |     |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------|-------|-----|
| Canadian manufacturing and processing profits from Part 10 .....                                                                                                                              | <b>210</b>              | _____ |     |
| Line 400, 405, 410, or 428 of the T2 return, whichever is the least <a href="#">7</a> .....                                                                                                   |                         | _____ | 13A |
| Subtotal (Line 210 <b>minus</b> amount 13A)                                                                                                                                                   |                         | ===== | 13B |
| Taxable income from line 360 of the T2 return .....                                                                                                                                           |                         | _____ | 13C |
| Line 400, 405, 410, or 428 of the T2 return, whichever is the least <a href="#">7</a> .....                                                                                                   |                         | _____ | 13D |
| Aggregate investment income from line 440 of the T2 return <a href="#">7</a> .....                                                                                                            |                         | _____ | 13E |
| Foreign business income tax credit deductible from<br>line 636 of the T2 return <a href="#">8</a> .....                                                                                       | × 4 <a href="#">9</a> = | _____ | 13F |
| Subtotal (total of amounts 13D to 13F)                                                                                                                                                        |                         | ===== | 13G |
| Subtotal (amount 13C <b>minus</b> amount 13G)                                                                                                                                                 |                         | ===== | 13H |
| Lesser of amount 13B and amount 13H .....                                                                                                                                                     |                         | _____ | 13I |
| Lesser of amount 9B and amount 9H <a href="#">10</a> .....                                                                                                                                    |                         | _____ | 13J |
| Subtotal (amount 13I <b>minus</b> amount 13J)                                                                                                                                                 |                         | ===== | 13K |
| <b>Manufacturing and processing profits deduction for generating electrical energy for sale or producing steam for sale</b><br>(amount 13K <b>multiplied</b> by 13%) <a href="#">11</a> ..... |                         | ===== | 13L |

<sup>7</sup> Applies only if you are a Canadian-controlled private corporation throughout your tax year.

<sup>8</sup> Calculate the amount of foreign business income tax credit without reference to the corporate tax reductions under section 123.4.

<sup>9</sup> General tax reduction for the year being 13% since January 1, 2012, the equation  $1/(0.38 - X)$  becomes:  $1/(0.38 - 0.13) = 1/(0.25) = 4$ .

<sup>10</sup> Enter "0" if you are only claiming the manufacturing and processing profits deduction for generating electrical energy for sale or producing steam for sale.

<sup>11</sup> If you are also claiming the manufacturing and processing profits deduction for other eligible activities, enter amount 13L on 9J of Part 9. If you are **only** claiming the deduction for generating electrical energy for sale or producing steam for sale, enter amount 13L on line 616 of the T2 return.

## Corporations that engage in qualified zero-emission technology manufacturing (ZETM) activities

Part 14 is for corporations claiming the ZETM deduction. If the corporation has eligible activities in addition to ZETM or wants to claim the manufacturing and processing profits deduction in addition to the ZETM deduction, it will also need to complete Part 2.

### Part 14 – ZETM profits

See [note 8](#) on page 9.

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |     |                   |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|-------------------|
| ADJUBI from line 130 in Part 3 .....                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 14A |                   |
| <div style="display: flex; justify-content: space-between; align-items: center;"> <div style="border: 1px solid black; padding: 2px;"> <div style="display: flex; justify-content: space-between;"> <span>MCB (Part 15, line 305)</span> <span>MLB (Part 16, line 306)</span> </div> <div style="display: flex; justify-content: space-between;"> <span>C (Part 4, line 140)</span> <span>L (Part 6, line 160)</span> </div> </div> <div style="font-size: 2em;">+</div> <div style="border: 1px solid black; padding: 2px;"> <div style="display: flex; justify-content: space-between;"> <span>MCB (Part 15, line 305)</span> <span>MLB (Part 16, line 306)</span> </div> <div style="display: flex; justify-content: space-between;"> <span>C (Part 4, line 140)</span> <span>L (Part 6, line 160)</span> </div> </div> </div> | =   | 14B <sup>12</sup> |

**ZETM profits** (if amount 14B is 0.9 or greater, enter amount 14A, otherwise, **multiply** amount 14A by amount 14B) ..... 14C

Enter this amount on line 310 in Part 17.

<sup>12</sup> Enter a decimal number less than or equal to 1 with a maximum of five decimal places to express fractions.

### Part 15 – ZETM cost of capital (MCB)

Include capital used directly in ZETM.

See [notes 3, 5, and 13](#) on page 9.

**ZETM cost of capital (MCB)** (the part of the cost of capital from line 140 in Part 4 that reflects the extent to which each property was used directly in qualified zero-emission technology manufacturing activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year) .....

**305**

Enter this amount in Part 14.

### Part 16 – ZETM cost of labour (MLB)

Include labour used directly in ZETM.

See [notes 3, 5, and 13](#) on page 9.

Part of salaries and wages (included in amount 6I) that was paid or payable to employees for services directly engaged in qualified zero-emission technology manufacturing activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year. ....

16A

Part of other payments (included in amount 6U) that was paid or payable to non-employees for performing functions that would be directly related to qualified zero-emission technology manufacturing activities of the corporation during the year, or of a partnership during its fiscal period of which you were a member at any time in the year, if they had been employees of the corporation or partnership .....

16B

**ZETM cost of labour (MLB)** (amount 16A **plus** amount 16B) ..... **306**

Enter this amount in Part 14.

**Part 17 – ZETM deduction****For eligible corporations that have profits from ZETM**

|                                                                                                          |                           |                                               |           |
|----------------------------------------------------------------------------------------------------------|---------------------------|-----------------------------------------------|-----------|
| ZETM profits from Part 14 .....                                                                          |                           | <b>310</b>                                    | _____     |
| Line 120 from Part 3 .....                                                                               | _____                     | 17A                                           |           |
| Line 400, 405, 410, or 428 of the T2 return, whichever is the least <sup>13</sup> .....                  | _____                     | 17B                                           |           |
| Subtotal (amount 17A <b>minus</b> amount 17B)                                                            | =====                     | ▶                                             | ===== 17C |
| Taxable income from line 360 of the T2 return .....                                                      |                           |                                               | 17D       |
| Line 400, 405, 410, or 428 of the T2 return, whichever is the least <sup>13</sup> .....                  | _____                     | 17E                                           |           |
| Aggregate investment income from line 440 of the T2 return <sup>13</sup> .....                           | _____                     | 17F                                           |           |
| Foreign business income tax credit deductible from<br>line 636 of the T2 return .....                    | _____ × 4 <sup>14</sup> = | 17G                                           |           |
| Subtotal (total of amounts 17E to 17G)                                                                   | =====                     | ▶                                             | ===== 17H |
|                                                                                                          |                           | Subtotal (amount 17D <b>minus</b> amount 17H) | ===== 17I |
| Line 310, amount 17C, or amount 17I, whichever is the least .....                                        | _____ 17J × 7.5% =        | 17L                                           |           |
| Amount 17E or the result of line 310 <b>minus</b> amount 17J, whichever is the least <sup>13</sup> ..... | _____ 17K × 4.5% =        | 17M                                           |           |
| <b>ZETM deduction</b> (amount 17L <b>plus</b> amount 17M) <sup>15</sup> .....                            |                           | <b>350</b>                                    | =====     |

<sup>13</sup> Applies only if you are a Canadian-controlled private corporation throughout your tax year.

<sup>14</sup> General tax reduction for the year being 13% since January 1, 2012, the equation  $1/(0.38 - X)$  becomes:  $1/(0.38 - 0.13) = 1/(0.25) = 4$ .

<sup>15</sup> If you are also claiming a manufacturing and processing profits deduction for other eligible activities, enter the amount from line 350 at amount 9K in Part 9. If you are **only** claiming the ZETM deduction, enter the amount from line 350 on line 616 of the T2 return.

## Notes and definitions

1. **Active business**, in relation to any business carried on by a taxpayer resident in Canada, means any business other than a specified investment business or a personal services business.
2. **Active business income of an associated corporation** includes its share of the active business income for the fiscal period of a partnership of which it was a member at any time in the year.
3. **Fiscal period of a partnership** refers to the period coinciding with or ending in the tax year of the corporation.
4. **Tax year of an associated corporation** means any tax year that coincides with or ends in the tax year of the corporation completing this schedule.
5. **Year** means the tax year of the corporation completing this schedule.
6. **Canadian manufacturing and processing profits** is defined in subsection 125.1(3). There is also a definition of **manufacturing or processing** which lists activities that are not included.
7. The term **associated corporation** has the meaning given by section 256. See the T2 Corporation Income Tax Guide for more information.
8. **Zero-emission technology manufacturing profits** is defined in subsection 125.2(1).
9. To determine the **cost of capital**, exclude from the gross cost or rental cost, the part that reflects the extent the property was used during the year by the corporation or the partnership (section 5204 of the regulations):
  - (a) in an active business carried on outside Canada
  - (b) to earn Canadian investment income or foreign investment income as defined in subsection 129(4) (assuming that the subsection applies also to partnerships)
  - (c) in activities that earn Canadian resource profits as defined in section 5202 of the regulations
  - (d) in activities referred to in items (a), (b), or (e) under the definition of "Canadian exploration and development expenses" in subsection 66(15), items (a) or (b) under the definition of "foreign exploration and development expenses" in subsection 66(15), items (a), (c), (f), or (i) under the definition of "Canadian exploration expense" in subsection 66.1(6), or items (a), (c), or (g) under the definition of "Canadian development expense" in subsection 66.2(5)
10. **Canadian exploration and development expenses, foreign exploration and development expenses, Canadian exploration expense, and Canadian development expense** are defined in subsection 66(15), subsection 66.1(6), and subsection 66.2(5). Your **Canadian or foreign exploration and development expenses** include the share of these expenses incurred by a partnership only if you were a member of that partnership at the end of the partnership's fiscal period.
11. **Salaries and wages** paid or payable to employees or **amounts** paid or payable to non-employees by a partnership that are included in its Canadian or foreign exploration and development expenses will be excluded from the calculation of the partnership's "Cost of labour" only if these exploration and development expenses can be included in the corporate partner's exploration and development expenses (see note 10 above).
12. Section 5203 of the regulations, **Resource income**, provides that a corporation's income from the processing of foreign ore be excluded from its net resource income (NRI) for the year. Income from foreign ore processing is generally equal to the resource profits for the year less the sum of Canadian resource profits for the year and the earned depletion base at the beginning of the immediately following tax year.
13. The following terms are defined in the Income Tax Regulations:

| Terms                                                         | Section or subsection |
|---------------------------------------------------------------|-----------------------|
| – Gross cost                                                  | 5202 and 5204         |
| – Net resource income                                         | 5203(3)               |
| – Qualified activities                                        | 5202                  |
| – Qualified zero-emission technology manufacturing activities | 5202                  |
| – Rental cost                                                 | 5202                  |
| – Resource activities                                         | 5203(2)               |
| – Salaries and wages                                          | 5202                  |